Cryptocurrency Risk Management and Trading Rules

1. The 1% Risk Rule (Capital Preservation)

- **Core Rule:** Never risk more than 1% to 2% of your total trading capital on a single trade.
- **Application:** If your account size is $1,000, your maximum allowed loss for a single trade should be $10 to $20. Position sizing must be adjusted so that hitting the Stop Loss only loses this exact amount.

2. Risk-to-Reward Ratio (R:R)

- **Minimum Requirement:** A trade must have a minimum Risk-to-Reward ratio of 1:2.
- **Meaning:** For every $1 you risk losing (at the Stop Loss), you must aim to make at least $2 in profit (at the Take Profit).
- **Decision:** If a technical setup offers an R:R of less than 1:1.5, the Orchestrator Agent MUST output a "HOLD" signal, as the trade is not worth the risk.

3. Stop Loss (SL) Placement

- **Long (BUY) Positions:** Place the Stop Loss slightly below the most recent major Support level or swing low.
- **Short (SELL) Positions:** Place the Stop Loss slightly above the most recent major Resistance level or swing high.
- **Rule:** Never enter a trade without a hard stop-loss. Mental stop-losses are strictly prohibited.

4. Take Profit (TP) Strategies

- **Scaling Out:** Take 50% of profits at the first major resistance/support level (TP1), and let the remaining 50% run to the next structural level (TP2) with the Stop Loss moved to breakeven (entry price).

5. Leverage Guidelines

- **High Volatility Markets:** Maximum allowed leverage is 2x to 3x.
- **Stable Markets:** Maximum allowed leverage is 5x.
- **Rule:** High leverage (10x+) is strictly prohibited for automated signaling to avoid liquidation wicks. Leverage is a tool to size positions correctly, not to gamble.